B

Income tax and NIC liabilities

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B Income tax and NIC liabilities

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The scope of income tax

1. Tax year

Individuals are assessed to income tax on their income arising in a tax year.

The tax year, or fiscal year, or year of assessment runs from 6 April to 5 April following.

The current tax year 2025/26 runs from 6 April 2025 to 5 April 2026.

2. UK resident

If an individual is resident in the UK, he/she will be liable to UK tax on all of their income wherever it arises.

If an individual is not resident in the UK, he/she will only be liable to UK tax on their income arising in UK.

2. UK resident

2.2 Statutory Residence Test (SRT)

Step 1: Automatic overseas tests 自动海外测试，符合即结束，不是 resident ，不符合进入 Step2

- Spend fewer than **16 days** in the UK in the current year
- Not have been UK resident in any of the 3 tax years immediately preceding the current tax year and must spend fewer than **46 days** in the UK in the current year
- Work sufficient hours overseas and spend less than **91 days** in the UK in the current year

2. UK resident

Step 2: Automatic UK tests　自动英国测试，符合即是 resident ，不符合进入 step3

- Spend 183 days or more in the UK in the current year
- Have a home in the UK and have no overseas home in the current year
- Have worked full-time in the UK for 365 days and at least one day in the current tax year

2. UK resident

Step 3: Ties tests

Days in UK in current tax year	Resident in 1 or more of previous 3 tax years	Not resident in any of the 3 tax years before
Less than 16	Automatically not UK resident	Automatically not UK resident
16 to 45	Resident if 4 UK ties (or more)	Automatically not UK resident
46 to 90	Resident if 3 UK ties (or more)	Resident if 4 UK ties
91 to 120	Resident if 2 UK ties (or more)	Resident if 3 UK ties (or more)
121 to 182	Resident if 1 UK tie (or more)	Resident if 2 UK ties (or more)
183 or more	Automatically UK resident	Automatically UK resident

2. UK resident

Five UK ties:

- Have a spouse or civil partner is UK resident, or minor child.
- Have accommodation (i.e. home, close relative's home) in the UK and spend 1 or more nights during the tax year.
- Do more than 3 hours of work a day in the UK for at least 40 days in that year (employment or self-employment).
- Spent more than 90 days in the UK in either or both of the previous 2 tax years.
- Spending greatest number of days in the UK than other country in the tax year.

Lecture example 1

Fiona has a house in London. Before 5 April 2025, she had always been UK resident and spends at least 100 days in the UK in every tax year.

During the tax year 2025-26, Fiona did not work and she bought an apartment in China and spent 260 days in this tax year. The remaining time of the tax year 2025-26 she lived in the house in UK with her husband who is UK resident.

State, with reasons, if Fiona would be UK resident in the tax year 2025-26?

The comprehensive computation of taxable income and income tax liability

3. Computing taxable income

	Non-savings Income £	Savings Income £	Dividend Income £	Total Income £
Trading income	A			A
Employment income	B			B
Property business income	C			C
Pension income	D			D
Transition profits (if any)	E			E
Savings income		X		X
Dividend income			X	X
Total income	X	X	X	X
Less: Qualifying loan interest paid	(X)	-	-	(X)
Net income	X	X	X	X
Less: Personal allowance	(X)	-	-	(X)
Taxable income	X	X	X	X

3. Computing taxable income

3.2 Total income

- Non-savings income
- Savings income
- Dividend income

3. Computing taxable income

3.3 Non-savings income

- Trading income
- Employment income
- Property business income
- Pension income
- Transition profit

3. Computing taxable income

3.4 Savings income and dividend income

- Dividend income

Dividends received in the tax year as a result of ownership of shares.

- Savings income

Bank interest received and Building society interest received

3. Computing taxable income

- Interest from government securities (gilts) - Accrued income scheme

For seller, savings income= interest received + accrued interest

Accrued interest= nominal value×interest rate×n/12

n= 所求税务年度内持有国债但未收到利息的

For buyer, savings income= interest received - accrued interest (of seller)

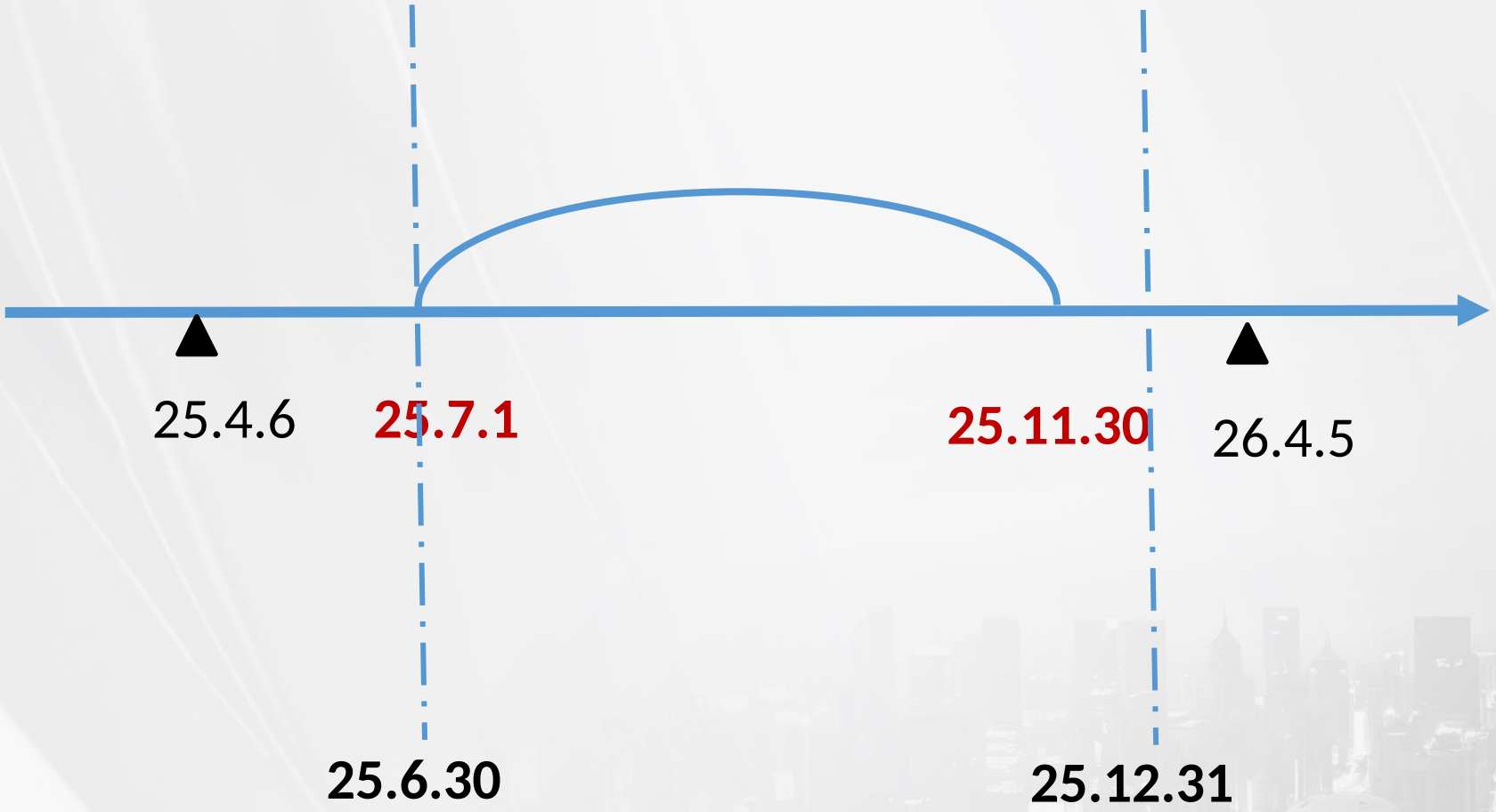
Accrued interest= nominal value×interest rate× n/12

n= 所求税务年度内收到利息但未持有国债的月份

Lecture example 2

On 1 July 2025, Emily purchased £100,000 (nominal value) of gilts which pay interest at the rate of 3% for £120,000. Interest is paid half-yearly on 30 June and 31 December based on the nominal value. Emily sold the gilts on 30 November 2025 to Sini for £121,250 (including accrued interest).

How much Emily and Sini should include as savings income for the tax year 2025-26?


25.4.6
25.7.1
25.11.30
26.4.5
25.6.30
25.12.31

3. Computing taxable income

3.5 Tax exempt income

- Dividend and interest received from Individual Savings Accounts (ISAs)

In 2025/26, maximum amount individual can invest in ISAs is £20,000.

Cash, stocks and shares could invest in ISAs.

- Interest from Saving Certificates issued by National Savings and Investment (NS&I) Bank
- Premium bonds prizes

3. Computing taxable income

3.5 Tax exempt income

- Statutory redundancy payment
- Gambling and gaming winnings
- Scholarships
- Compensation on damages for personal injuries
- Local authority grant
- Child benefit (later in this chapter)

3. Computing taxable income

3.6 Qualifying loan interest paid

Qualifying loan interest paid can be deducted from total income.

Qualifying loan interest paid should firstly deduct from non-savings income, and then savings income, lastly dividend income.

Qualifying loan is any loan to:

- Purchase interest in a partnership
- Purchase shares in an employee-controlled company
- Purchase plant and machinery used in work/partnership

3. Computing taxable income

3.7 Personal allowance (PA)

In 2025/26, the standard personal allowance is £12,570.

Personal allowance is deducted from net income.

Personal allowance should firstly deduct from non-savings income, and then savings income, lastly dividend income.

3. Computing taxable income

3.7 Personal allowance (PA)

Adjusted net income (ANI) =Net income － Gross personal pension contributions － Gross gift aid donations

Adjusted net income	Personal allowance
ANI≤£100,000	£12,570
£100,000 ＜ ANI ＜ £125,140	£12,570 - (ANI-£100,000)/2
£125,140≤ANI	£0

Lecture example 3

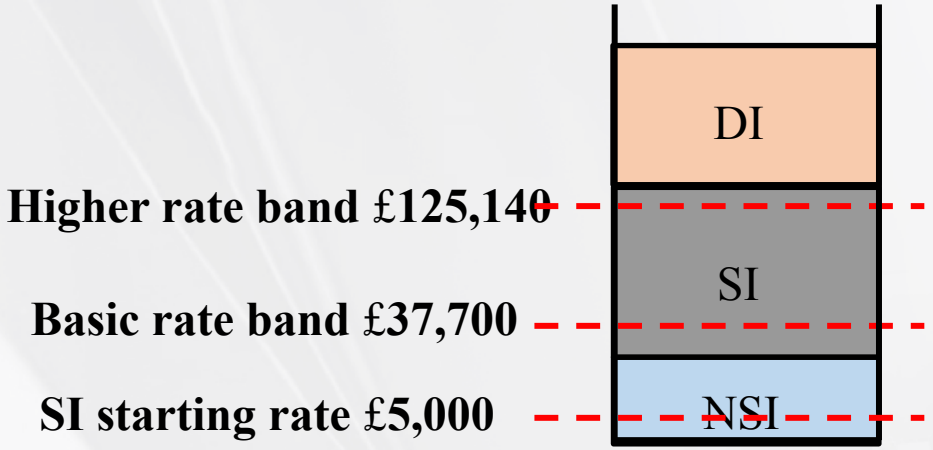
Daisy is an employee of A Ltd. During the tax year 2025-26, she earned annual salary of £6,000. Besides, she received £4,000 building society interest and £96,000 dividend. She has no other income.

Calculate Daisy 's taxable income for the tax year 2025-26.

4. Computing income tax liability

Taxable income	£
NSI × % SI × % DI × %	X X X
Income Tax Liability	X
Less: PAYE on employment income	(X)
Income tax payable / repayment	X/(X)

4. Computing income tax liability- 少女法则之“水桶法则”



	NSI	SI	DI
Additional rate band	45%	45%	39.35%
Higher rate band	40%	40%	33.75%
Basic rate band	20%	20%	8.75%
Starting rate for savings		0%	

4. Computing income tax liability

Additional rate taxpayer	Total taxable income > Higher rate limit
Higher rate taxpayer	Basic rate limit < Total taxable income ≤ Higher rate limit
Basic rate taxpayer	Total taxable income ≤ Basic rate limit

4. Computing income tax liability

- **Savings income starting rate**

Starting rate for savings is £5,000.

- **Savings income nil rate band**

Basic rate taxpayers, savings income nil rate band = £1,000

Higher rate taxpayers, savings income nil rate band = £500

Additional rate taxpayers, savings income nil rate band = £0

- **Dividend income nil rate band**

All taxpayers, dividend income nil rate band = £500

4. Computing income tax liability

4.3 PAYE

Pay As You Earn (PAYE) is HMRC system to collect income tax and national insurance from employment.

Employers need to make deductions for PAYE when make payments to employees.

From these payments, employers need to deduct tax and national insurance for most employees.

Lecture example 4

For the tax year 2025-26, Joe is an employee of B plc and has a salary of £47,000. He also received building society interest £2,000 and dividend £6,000. During the year, he paid interest of £430 which was incurred on a loan to buy a computer used for his work. Joe’s employer deducted £6,230 in PAYE from his earnings.

Calculate Joe 's income tax payable for the tax year 2025-26.

5. Gift aid donation

Donation to gift aid scheme cannot deduct from taxable income, but the contribution is qualified for tax relief as follow:

- Gross amount of donation×80%=Actually paid
- Gross amount of donation could be deducted from net income when calculate ANI, so the personal allowance may be increased.
- Gross amount of donation could increase the donor's basic rate limit and higher rate limit.

Lecture example 5

Ellie is a director of LD plc. She received remuneration of £125,000 in the tax year 2025-26. She also received dividend income of £8,000. On 11 July 2025, she paid gift aid donations of £12,800.

Compute Ellie's income tax liability for the tax year 2025-26.

6. Transferable amount of personal allowance

6.1 Conditions

Spouse/civil partner both are basic rate taxpayer.



13 February 2023 — Press release

Give the gift of Marriage Allowance on Valentine's Day

Married couples or those in a civil partnership could save up to £252 a year by claiming Marriage Allowance.

6.2 Marriage allowance

For the transferor

The transferor could transfer fixed amount £1,260 of personal allowance to spouse.

The transferor's personal allowance = £12,570 − £1,260 =£11,310

For the transferee

The transferee's own personal allowance is still £12,570.

The transferee's income tax liability will be reduced by £1,260 × 20% =£252.

Lecture example 6

Paul and Rai are a married couple. For the tax year 2025-26, Rai has a salary of £35,000 and Paul has a trading profit of £12,000. They have made an election to transfer the fixed amount of personal allowance from Paul to Rai.

Compute Paul and Rai's income tax liability for the tax year 2025-26.

Lecture example 6

Paul	£
Trading profit/Net income	12,000
Less: personal allowance 12,570	(12,000)
Taxable income	0
Tax liability	0
Rai	£
Employment income/Net income	35,000
Less: personal allowance	(12,570)
Taxable income	22,430
Income tax liability:	£
22,430×20%	4,486

7. Child benefit income tax charge

When an individual is responsible for one child, he/she may receive child benefit.

If adjusted net income in tax year is over £60,000, income tax will charge on child benefit.

Higher adjusted net income of spouse is used.

Adjusted net income	Child benefit income tax charge £
ANI≤£60,000	0
£60,000 < ANI < £80,000	Child benefit ×(ANI-£60,000)/200 ×1% (% round down)
£80,000≤ANI	Child benefit

Lecture example 7

Kearney and Silvia are married with two children. Kearney has no income as he looks after the couple's children. Silvia has annual salary of £66,950 and has no other source of income. During the tax year 2025-26, Silvia paid £1,600 to a registered charity under the gift aid scheme. Silvia received child benefit of £2,089 in the tax year 2025-26.

Calculate child benefit income tax charge for the tax year 2025-26.

8. Jointly held property and basic tax planning

Income from jointly held property is split 1:1 between spouse or civil partners.

Spouse or civil partner could make a joint declaration to HMRC specifying the proportions.

8. Jointly held property and basic tax planning

Lecture example 8

Fred and Eva are a married couple. For the tax year 2025-26, Fred will have a salary of £90,000 and savings income from joint named bank account of £1,500. Eva will have a salary of £40,000.

How much income tax liabilities would be saved if Fred and Eva want to make full use of their savings income nil rate band to minimise their income tax liabilities?

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Practice(do by yourself first)

Practice

Charles was born in 1984. He is an employee and his employment income for 2025-26 was £111,400.
During the tax year 2025-26 Charles made a gift aid donation of £800 (gross) to a national charity.

Required

a) Calculate the income tax liabilities for the tax year 2025-26 of:

b) Explain to Charles, with supporting calculations, how his income tax liabilities for the tax year 2025-26 would have been reduced if:
Charles had further contributed £10,600 (gross) gift aid donation during the tax year 2025-26.

Practice - A

	£
Employment Income	111,400
less: PA (W1)	(7,270)
Taxable income	104,130
Tax liability:	
38,500 (W2) × 20%	7,700
(104,130 - 38,500) × 40%	26,252
	33,952

W1: Adjusted net income = 111,400 - gross gift aid donation
= 111,400 - 800
= 110,600 > 100,000

	£
Std PA	12,570
Less : restriction	
(110,600 - 100,000) × 1/2	(5,300)
	7,270

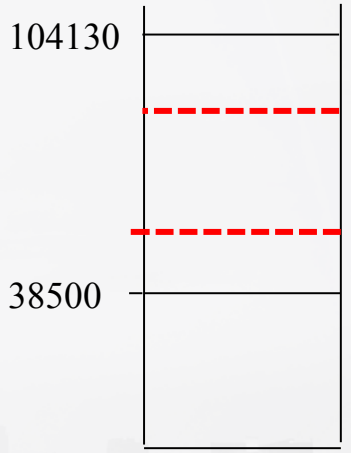
W2: Extend the rate band 37,700 + gross gift aid
= 37,700 + 800 = 38,500

Practice - A

Taxable income reduced by 5300

The rate band increased by 10600

The IIT liability reduced by



Quizzes(self-practice)

Quiz 1

Jermaine received trading income of £120,000 in the tax year 2025-26. He also made gift aid donations of £3,200 (net).

What is Jermaine's taxable income for the tax year 2025-26?

A.£115,830
B.£107,430
C.£120,000
D.£115,430

Quiz 1-A

The correct answer is **D**.
If Jermaine's net income exceeds £100,000 his personal allowance will be reduced at the rate of £1 for every £2 of excess. The first step is to adjust net income for gift aid as shown in the working.

Trading income = total income = net income	120,000
Less: adjusted personal allowance (working)	(4,570)
Taxable income	115,430

Quiz 1-A

Personal allowance (PA)	£	12,570
Net income	120,000	
Less: gross gift aid donation		
(3,200 × 100/80)	(4,000)	
Adjusted net income	116,000	
Less: income limit	(100,000)	
	16,000	
PA reduction (50% of income over £100,000)		(8,000)
Adjusted PA		4,570

Quiz 2

Ryder has employment income for the tax year 2025-26 of £138,000 from which £42,700 tax has been deducted through PAYE. He also has dividends of £15,000 for the tax year 2025-26.

What is Ryder's income tax payable for the tax year 2025-26?

A.£54,009
B.£11,506
C.£11,309
D.£12,128

Quiz 2-A

The correct answer is **C**.

Employment income	138,000
Dividends	15,000
Total income = net income	153,000
Less: personal allowance (>£125,140)	0
Taxable income	153,000

Quiz 2-A

Income tax:		£	%	
Other income	– basic rate	37,700	20	7,540
	– higher rate	87,440	40	34,976
	– additional rate	12,860	45	5,787
		138,000		
Dividends – nil rate		500	0	0
Dividends – additional rate		14,500	39.35	5,706
Income tax liability		153,000		54,009
Less: PAYE				(42,700)
Income tax payable				11,309

Quiz 3

Susan and James are a married couple. Susan has employment income for the tax year 2025-26 of £67,000 and she made gross personal pension contributions of £4,000 during 2025-26. Susan also received child benefit of £2,213 during the tax year 2025-26. James has employment income of £30,000 during the tax year 2025-26.

What is Susan's child benefit income tax charge for the tax year 2025-26?

A.£775
B.£332
C.£443
D.£2,213

Quiz 3-A

The correct answer is **B**

Net income	67,000
Less: pension contributions (gross)	(4,000)
Adjusted net income	63,000
Less: high income threshold	(60,000)
Excess	3,000
Child benefit income tax charge:	
1% × £2,213 × 3,000/200	332

Quiz 4

Michelle and Caleb are a married couple. Michelle has trading income of £27,000 for the tax year 2025-26, and Caleb has employment income of £10,000. Caleb has made an election to transfer part of his personal allowance for the tax year 2025-26.

What is Michelle's tax liability for the tax year 2025-26?

A.£2,382
B.£2,634
C.£1,626
D.£2,886

Quiz 4-A

The correct answer is **B**

Trading income	27,000
Less: personal allowance	(12,570)
Taxable income	14,430
Tax at 20%	2,886
Less: personal allowance tax reduction (1,260 × 20%)	(252)
Income tax liability	2,634



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